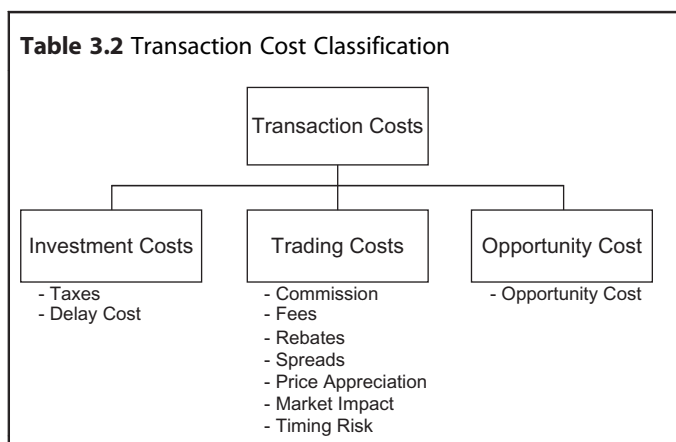


Table 3.1 Unbundled Transaction Costs

	Fixed	Variable
Visible:	Commission Fees Rebates	Spreads Taxes
Hidden:	n/a	Delay Cost Price Appreciation Market Impact Timing Risk Opportunity

Table 3.2 Transaction Cost Classification

specified strategy, evaluating alternative strategies and algorithms, and selecting the strategy or algorithm that is most consistent with the overall investment objective of the fund.

Intraday analysis is intended to ensure that the revised execution strategies will continuously be aligned with the high level trading decisions. It consists of specifying how these strategies are to adapt to the endlessly changing market conditions (e.g., price movement and liquidity conditions). The only certainty in trading is that actual conditions will differ from expected. Participants need to understand when it is appropriate to change their strategy and take advantage of these changing market conditions.

Both pre-trade and intraday analysis consist of making and revising execution strategies (in real-time) to ensure trading goals are consistent